

Expect weaker 2Q26F profits on investment losses

New game performing in line; maintain Buy rating

2Q26F: investment losses likely to derail an otherwise decent quarter; maintain Buy

We anticipate NetEase (NTES) to report in-line revenue and better operating profit (OP), but net profit likely came in lower due to the bigger investment losses stemming from its holdings of Alibaba (BABA US, Buy) and Pinduoduo (PDD US, Neutral) shares.

We have modeled for 5% y-y revenue growth to CNY29.3bn, which is largely in line with the Bloomberg consensus estimate of CNY29.4bn. 2Q was a quiet quarter for NTES' online gaming business due to a lack of new titles, but we estimate NTES' online game and VAS segment likely posted impressive growth of 6% y-y, despite a still-high base effect, driven by the resilient performance of evergreen titles such as PC FWJ, Eggy Party and WWM.

The gross margin (GM) of NTES' online gaming business likely expanded 2.8pp y-y to 73% backed by an increased share of revenue from higher-margin self-developed PC games. As a result, the blended GM likely improved 2.5pp to 67.2%, better than the Street consensus of 66.9%.

We project GAAP operating profit (OP) likely increased a robust 20% y-y to CNY10.8bn, which is 2% above the consensus estimate of CNY10.6bn due to higher margins. Our projected GAAP operating profit margin (OPM) improved 4.5pp y-y to 37% on the back of GM expansion and spending discipline. Our non-GAAP OP likely rose 14% to CNY11.4bn.

While we are expecting better-than-expected OP, NTES' non-GAAP net profit likely came in at CNY9.4bn, which is 8% below consensus of CNY10.2bn due to its holdings of Alibaba and PDD shares. Based on our calculation, the mark-to-market investment loss related to these two holdings likely amounted to CNY663mn in 2Q26F.

NTES launched its widely-anticipated new game, Sea of Remnants (SoR) recently. The performance of this game has been in line with our expectations so far – and likely on track to generate CNY200-300mn/month in gross billing. While SoR is not a super blockbuster title like WWM, we believe its launch will still serve to accelerate NTES' game growth in 2H26F.

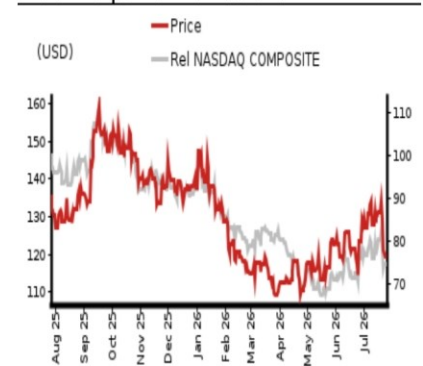
We maintain our Buy rating and TP of USD155, implying an unchanged 17x FY26F P/E, vs the current FY26F P/E of 13x.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	112,626	119,723	119,723	128,358	128,358	134,258	134,258
Reported net profit (mn)	33,760	38,394	38,394	41,864	41,864	44,072	44,072
Normalised net profit (mn)	37,344	40,742	40,742	44,386	44,386	46,712	46,712
FD normalised EPS	58.02	63.62	63.62	69.66	69.66	73.68	73.68
FD norm. EPS growth (%)	11.9	9.6	9.6	9.5	9.5	5.8	5.8
FD normalised P/E (x)	14.7	–	12.8	–	11.7	–	11.1
EV/EBITDA (x)	12.8	–	9.5	–	8.6	–	7.2
Price/book (x)	3.3	–	2.7	–	2.4	–	2.1
Dividend yield (%)	2.5	–	3.0	–	3.3	–	3.4
ROE (%)	22.6	22.1	22.1	20.9	20.9	19.3	19.3
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating	Buy
Remains	
Target price	USD 155.00
Remains	
Closing price	USD 119.55
24 July 2026	
Implied upside	+29.7%
Market Cap (USD mn)	76,541.9
ADT (USD mn)	124.6

Relative performance chart



Source: LSEG, Nomura

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Key data on NetEase

Performance

(%)	1M	3M	12M		
Absolute (USD)	1.6	8.1	-12.3	M cap (USDmn)	76,541.9
Absolute (USD)	1.6	8.1	-12.3	Free float (%)	55.6
Rel to NASDAQ COMPOSITE	3.6	7.6	-30.9	3-mth ADT (USDmn)	124.6

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	105,295	112,626	119,723	128,358	134,258
Cost of goods sold	-38,302	-39,219	-39,549	-41,659	-43,428
Gross profit	66,993	73,406	80,173	86,700	90,830
SG&A	-33,526	-33,924	-35,318	-37,481	-38,801
Employee share expense	-3,883	-3,648	-2,411	-2,585	-2,704
Operating profit	29,584	35,835	42,444	46,634	49,325
EBITDA	32,002	38,082	44,833	49,195	52,004
Depreciation	-2,418	-2,247	-2,389	-2,561	-2,679
Amortisation					
EBIT	29,584	35,835	42,444	46,634	49,325
Net interest expense	4,921	3,953	4,000	4,000	4,000
Associates & JCEs	355	732	600	600	600
Other income	858	311	465	1,087	1,087
Earnings before tax	35,718	40,830	47,508	52,320	55,012
Income tax	-5,461	-6,033	-8,076	-9,418	-9,902
Net profit after tax	30,256	34,798	39,432	42,902	45,110
Minority interests	-559	-1,038	-1,038	-1,038	-1,038
Other items	3,813	3,584	2,348	2,522	2,641
Preferred dividends					
Normalised NPAT	33,511	37,344	40,742	44,386	46,712
Extraordinary items	-3,813	-3,584	-2,348	-2,522	-2,641
Reported NPAT	29,698	33,760	38,394	41,864	44,072
Dividends	-11,879	-13,504	-15,358	-16,746	-17,629
Transfer to reserves	17,819	20,256	23,036	25,119	26,443

Valuations and ratios

Reported P/E (x)	18.7	16.3	13.6	12.4	11.7
Normalised P/E (x)	16.6	14.7	12.8	11.7	11.1
FD normalised P/E (x)	16.6	14.7	12.8	11.7	11.1
Dividend yield (%)	2.2	2.5	3.0	3.3	3.4
Price/cashflow (x)	14.0	10.8	8.5	22.2	7.5
Price/book (x)	4.0	3.3	2.7	2.4	2.1
EV/EBITDA (x)	15.5	12.8	9.5	8.6	7.2
EV/EBIT (x)	16.7	13.6	10.0	9.0	7.6
Gross margin (%)	63.6	65.2	67.0	67.5	67.7
EBITDA margin (%)	30.4	33.8	37.4	38.3	38.7
EBIT margin (%)	28.1	31.8	35.5	36.3	36.7
Net margin (%)	28.2	30.0	32.1	32.6	32.8
Effective tax rate (%)	15.3	14.8	17.0	18.0	18.0
Dividend payout (%)	40.0	40.0	40.0	40.0	40.0
ROE (%)	22.6	22.6	22.1	20.9	19.3
ROA (pretax %)	19.7	23.5	26.3	27.9	28.6

Growth (%)

Revenue	1.8	7.0	6.3	7.2	4.6
EBITDA	4.0	19.0	17.7	9.7	5.7
Normalised EPS	3.4	11.9	9.6	9.5	5.8
Normalised FDEPS	3.4	11.9	9.6	9.5	5.8

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	32,002	38,082	44,833	49,195	52,004
Change in working capital	-9,958	-10,374	22,269	-18,478	24,297
Other operating cashflow	17,633	23,031	-5,821	-7,276	-7,495
Cashflow from operations	39,677	50,740	61,281	23,441	68,806
Capital expenditure	-2,206	-2,052	-1,133	-1,214	-1,270
Free cashflow	37,470	48,687	60,148	22,227	67,536
Reduction in investments	25,415	-17,198	-5,000	-5,000	-5,000
Net acquisitions					
Dec in other LT assets	1,011	1,773	0	0	0
Inc in other LT liabilities	-169	112	0	0	0
Adjustments	-6,134	-15,816	5,000	5,000	5,000
CF after investing acts	57,593	17,558	60,148	22,227	67,536
Cash dividends	-11,165	-13,826	-14,431	-16,052	-17,187
Equity issue	0	0	0	0	0
Debt issue	-7,476	-5,799	0	0	0
Convertible debt issue					
Others	-8,688	-917	0	0	0
CF from financial acts	-27,330	-20,541	-14,431	-16,052	-17,187
Net cashflow	30,264	-2,982	45,718	6,176	50,348
Beginning cash	24,206	54,470	51,487	97,205	103,380
Ending cash	54,470	51,487	97,205	103,380	153,729
Ending net debt	-54,470	-51,487	-97,205	-103,380	-153,729

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	54,470	51,487	97,205	103,380	153,729
Marketable securities	75,441	92,639	97,639	102,639	107,639
Accounts receivable	5,669	5,338	5,158	6,095	5,676
Inventories					
Other current assets	17,745	31,151	14,770	34,463	17,033
Total current assets	153,325	180,615	214,773	246,578	284,077
LT investments	0	0	0	0	0
Fixed assets	8,520	8,425	7,169	5,822	4,413
Goodwill					
Other intangible assets					
Other LT assets	34,147	32,374	32,374	32,374	32,374
Total assets	195,992	221,415	254,316	284,774	320,864
Short-term debt					
Accounts payable	721	643	2,694	823	2,844
Other current liabilities	48,947	51,726	55,384	59,407	63,833
Total current liabilities	49,668	52,369	58,078	60,230	66,677
Long-term debt					
Convertible debt	0	0	0	0	0
Other LT liabilities	3,830	3,942	3,942	3,942	3,942
Total liabilities	53,497	56,311	62,020	64,172	70,619
Minority interest	3,809	4,808	5,846	6,884	7,922
Preferred stock					
Common stock	3	3	3	3	3
Retained earnings	118,454	136,251	160,551	186,431	214,153
Proposed dividends	11,879	13,504	15,358	16,746	17,629
Other equity and reserves	8,350	10,538	10,538	10,538	10,538
Total shareholders' equity	138,686	160,296	186,450	213,718	242,323
Total equity & liabilities	195,992	221,415	254,316	284,774	320,864

Liquidity (x)

Current ratio	3.09	3.45	3.70	4.09	4.26
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	45.96	52.45	59.95	65.70	69.51
Norm EPS (CNY)	51.86	58.02	63.62	69.66	73.68
FD norm EPS (CNY)	51.86	58.02	63.62	69.66	73.68
BVPS (CNY)	216.67	251.53	294.04	338.73	386.00
DPS (CNY)	18.56	21.19	24.22	26.54	28.08

Activity (days)

Days receivable	21.0	17.8	16.0	16.0	16.0
Days inventory	0.0	0.0	0.0	0.0	0.0
Days payable	7.6	6.3	15.4	15.4	15.5
Cash cycle	13.3	11.5	0.6	0.6	0.6

Source: Company data, Nomura estimates

Company profile

NetEase is one of the largest game developers and publishers in China. The company also provides a variety of other services including music streaming, live broadcasting, news service, and education service, among others.

Valuation Methodology

We value the company's online gaming business at US\$73bn based on 17x FY26F P/E. We value NTES' music business at US\$2bn based on its latest market cap. The resulting TP is US\$155. The benchmark index for the company is Nasdaq Composite.

Risks that may impede the achievement of the target price

Downside risks: 1) bigger margin contraction from incubated business; and 2) lower-than-expected grossing of legacy titles like FWJ.

ESG

NetEase's business is environment-friendly as it does not cause pollution or generate greenhouse gas.

Fig. 1: NTES: 2Q26F results preview

2Q26F results preview							
CNYmn	2Q26F	1Q26	2Q25	YoY	QoQ	Cons.	vs Cons.
Revenues	29,291	30,591	27,892	5%	-4%	29,435	-0.5%
Gross profit	19,697	21,217	18,052	9%	-7%	19,706	0%
Gross margin	67.2%	69.4%	64.7%	2.5ppt	-2.1ppt	66.9%	0.3ppt
Operating profit	10,841	12,657	9,061	20%	-14%	10,628	2%
Operating margin	37.0%	41.4%	32.5%	4.5ppt	-4.4ppt	36.1%	0.9ppt
Non-GAAP op	11,431	13,273	10,007	14%	-14%	NA	NA
Non-GAAP op margin	39.0%	43.4%	35.9%	3.1ppt	-4.4ppt	NA	NA
Non-GAAP net profit	9,411	11,275	9,532	-1%	-17%	10,184	-8%
Non-GAAP net margin	32.1%	36.9%	34.2%	-2.0ppt	-4.7ppt	34.6%	-2.5ppt
Non-GAAP EPADS (CNY)	14.64	17.46	14.81	-1%	-16%	15.64	-6%

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: NTES: Operating metrics preview

Segment results					
CNYmn	2Q26F	1Q26	2Q25	YoY	QoQ
Revenue					
Game and related VAS	24,220	25,713	22,806	6.2%	-5.8%
Youdao	1,418	1,348	1,418	0.0%	5.2%
Cloud Music	1,988	1,981	1,969	1.0%	0.4%
Innovative businesses and others	1,665	1,549	1,699	-2.0%	7.5%
Total net revenue	29,291	30,591	27,892	5.0%	-4.2%
Gross profit					
Game and related VAS	17,681	19,231	16,014	10.4%	-8.1%
Youdao	610	602	609	0.0%	1.2%
Cloud Music	716	734	710	0.8%	-2.5%
Innovative businesses and others	691	650	719	-3.9%	6.3%
Total gross profit	19,697	21,217	18,052	9.1%	-7.2%
Gross profit margin					
Game and related VAS	73.0%	74.8%	70.2%	2.8ppt	-1.8ppt
Youdao	43.0%	44.7%	43.0%	0.0ppt	-1.7ppt
Cloud Music	36.0%	37.1%	36.1%	-0.1ppt	-1.1ppt
Innovative businesses and others	41.5%	42.0%	42.3%	-0.8ppt	-0.5ppt
Gross profit margin	67.2%	69.4%	64.7%	2.5ppt	-2.1ppt

Source: Company data, Nomura estimates

Fig. 3: NTES: SOTP model

	Valuation (USD bn)	Stake	Attributable valuation (USD bn)	Valuation methodology	Note
Online games	73	100%	73	17x FY26F P/E	10% discount to global peers' average
Cloud Music (9899 HK, not rated)	3.1	59%	1.8		In line with the latest market cap for Cloud Music
NetEase Youdao (DAO US, not rated)	1.5	57%	0.8		Based on Youdao's latest market cap
Gross EV			76		
Holding discount*			30%		
Net EV			75.0		
Net Cash			24		
Market cap			99		
TP (USD)			155		

Note: The holding discount only applies to the Cloud Music and Youdao businesses.

Note: Market cap for Cloud Music and Youdao as of 20 May 2026.

Source: Company data, Nomura estimates

Appendix A-1

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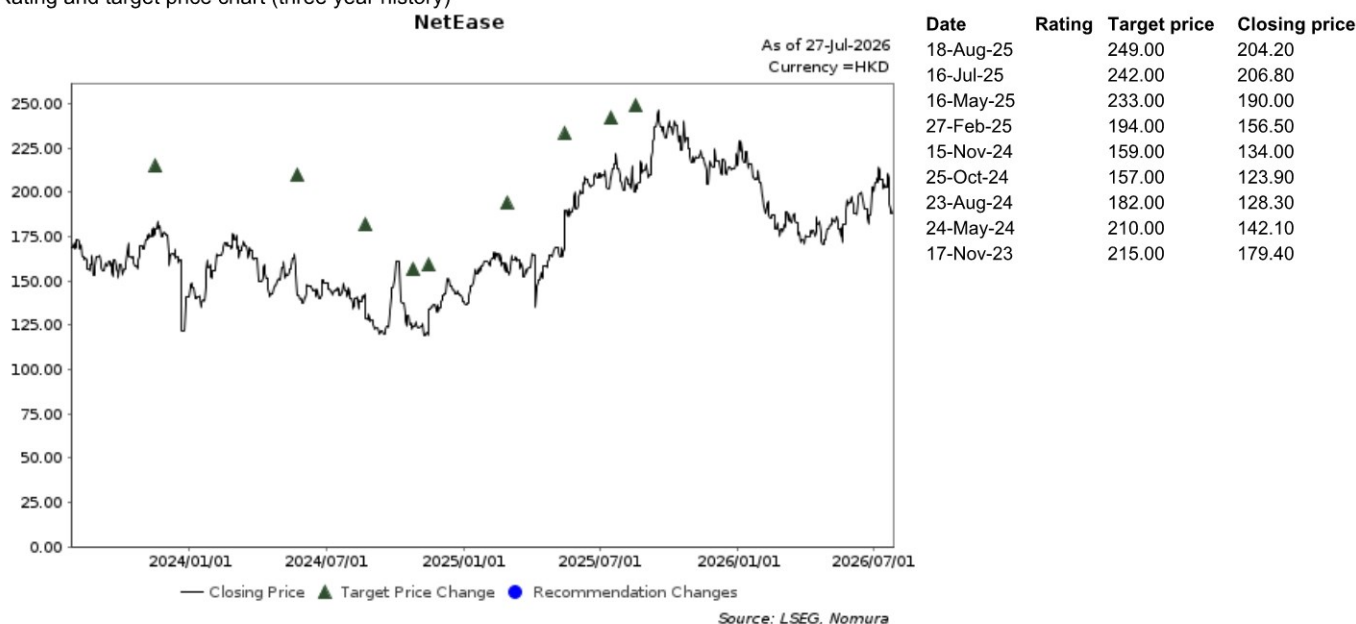
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
NetEase	9999 HK	HKD 191.00	27-Jul-2026	Buy	N/A	A10
NetEase	NTES US	USD 119.55	24-Jul-2026	Buy	N/A	A10

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

NetEase (9999 HK)

HKD 191.00 (27-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

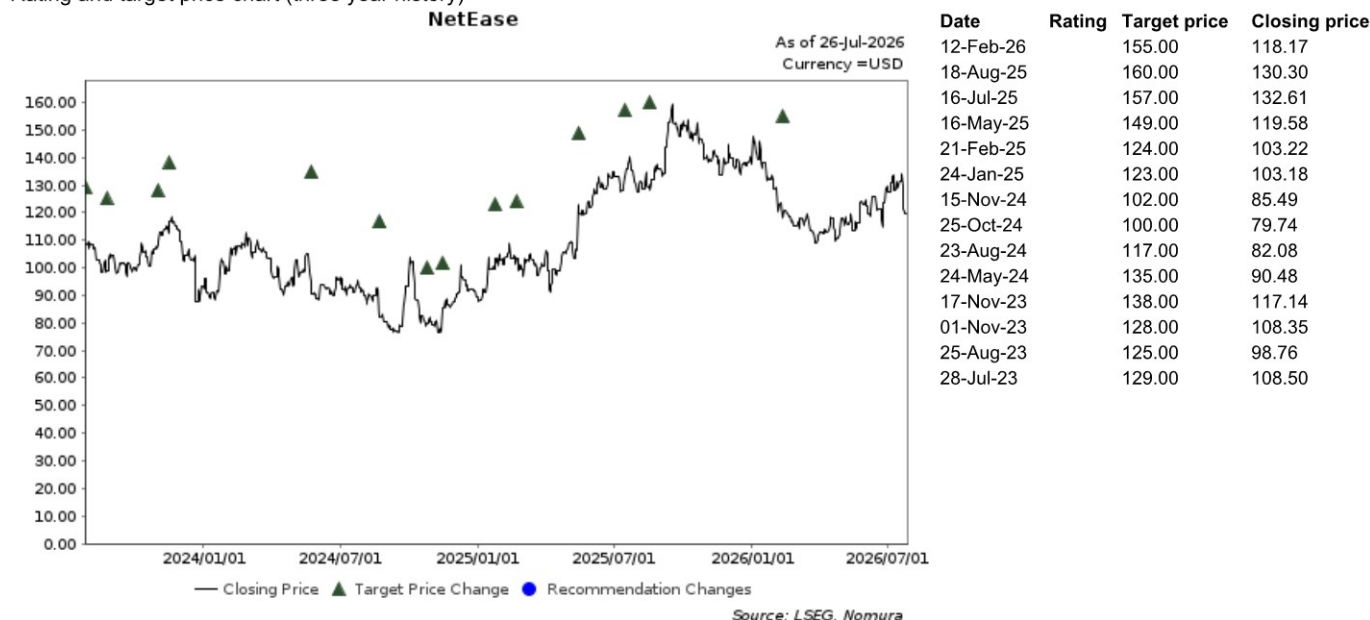
Valuation Methodology We value the company's online gaming business at US\$78bn based on 17x FY26F P/E. We value NTES' music business at USD4.2bn based on its latest market cap. The resulting TP is HKD249. The benchmark index for the company is the Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks include: 1) bigger margin contraction from incubated businesses; and 2) lower-than-expected grossing of legacy mobile titles like FWJ.

NetEase (NTES US)

USD 119.55 (24-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the company's online gaming business at US\$73bn based on 17x FY26F P/E. We value NTES' music business at USD2bn based on its latest market cap. The resulting TP is USD155. The benchmark index for the company is Nasdaq Composite.

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

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A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States**: S&P 500; **Europe**: Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan**: Sector ratings are not assigned.

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